its MLA from Gajuwaka, where VSP is located, also won with a massive majority (67.3 per cent vote share) unseating then industries minister Gudivada Amarnath of the YSRCP (Yuvajana Sramika Rythu Congress Party). So when Sribharat says, "Decisive action is needed...a comprehensive revival package to safeguard the livelihood of the employees and ensure that RINL stays sustainable in the long term", it has to be read as more than just empty words.

TDP chief Naidu attributes the success in "breathing life into an ailing steel plant" to the "double engine" government. The current revival plan is to ensure that all three blast furnaces would reach over 92 per cent production levels by mid-2025. State government sources claim that six multinational companies, including Korean steel major POSCO, have expressed interest in investing in RINL, adding that some are keen to come onboard as "technology partners" for the modernisation of VSP.

Not everyone is convinced. "The steel ministry's move, though late, is a welcome step," says E.A.S. Sarma, former Union secretary, power and economic affairs, who steers the civil society group People's Commission on Public Sector and Public Services (PCPSPS). "The NDA government's move to privatise RINL in 2021 was counter-productive. They tried every trick in the book to weaken RINL and offer it on a silver platter to a private oligarch, but were finally forced to yield to public pressure to drop the proposal." RINL officials and the unions have long complained that while the plant has still not been allotted a captive iron ore mine (as the National Steel Policy dictates it should), competitors are now owners of several. In one case, 13 mines have been allocated to JSW Steel, nine in Karnataka and four in Odisha (since 2016), allowing it to capture some of Vizag Steel's customers.

There's also the issue of some 18,000 acres of prime land in RINL's possession, originally acquired from farmers on the understanding that it was for a company 'wholly owned by the government', as stipulated in the erstwhile Land Acquisition Act. "As such, it would have been illegal for any government to hand over that land to a private company, considering that its present market value would be around Rs 2 lakh crore," claims Sarma.



TWICE AS NICE PM Modi and Naidu at a programme in Visakhapatnam, Jan. 9

ANI

Being a key partner in the NDA govt, Naidu was able to impress on the PM how crucial RINL's revival promise had been to TDP's Andhra poll campaign

The Package

Some industry analysts are even sceptical about the Rs 11,440 crore 'financial package'. If it is directed solely at debt repayment, VSP may face operational constraints, limiting its ability to generate the revenue needed to sustain long-term recovery. Conversely, investing the funds in production could yield profits to address the debt, but without resolving the fundamental issues—raw material costs, absence of captive mines, unequal treatment vis-a-vis private steel plants and capacity underutilisation.

Indeed, many are apprehensive that the 'package' is just a preparatory step to enhance its valuation before potential privatisation. RINL started as a part of Steel Authority of India Ltd (SAIL), before it got incorporated as a separate entity. S. Viswanatha Raju, an independent director at SAIL, has emphasised that a merger with the steel major is the only solution, but the latter has refused, saying it is not an option as long as Vizag Steel is in the red. With the privatisation threat looming large, VSP workers have had a 24x7 relay protest going outside the plant's main entrance, even as they went in to work.

To secure RINL's future, there has been talk of monetising assets through the sale of a land parcel of 2,000 acres to the National Mineral Development Corporation. Meanwhile, down the road, RINL will soon have another competitor, Arcelor Mittal's Rs 1.7 lakh crore 14 MT steel plant, which is coming up in Anakapalle, an hour's drive away. Chief Minister Naidu has already guaranteed raw material for the new plant, to be transported via slurry pipelines from Nakkapalli down the coast in the first phase. As for Vizag Steel, a full-blown crisis has been averted but what the future holds is still uncertain. ■